

AI in 2026: From Adoption to Agentic

Harvard Business School research explores the evolving role of artificial intelligence on workplace creativity, productivity, and decision-making.

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What Leadership Looks Like in an Agentic AI World

Generative AI can do far more than synthesize emails and write reports. Leaders can harness agentic AI to create their own digital support team to power their performance.

By Michael Blanding on February 11, 2026



Research by Tsedal Neeley

Naylor Fitzhugh Professor of Business Administration, Senior Associate Dean of Faculty Development and Research, and Faculty Chair of the Christensen Center for Teaching and Learning at the Harvard Business School

Generative AI has become a regular workplace feature, with employees using prompts to do everything from summarizing data to writing press releases, but most people are only scratching the surface of what's possible.

Increasingly, people are using artificial intelligence to handle complex tasks semi-autonomously, says Harvard Business School Professor Tsedal Neeley and Expedia Group's Ritcha Ranjan. So-called agentic AI are autonomous AI systems that plan, reason, and act to complete tasks. The systems can carry out entire workflows with minimal human oversight.

"I can't see a future without every individual using AI to dramatically improve their work, their relationships, and their collaborations."

Most businesses surveyed by McKinsey recently have applied AI to at least one function, and 39 percent have begun to experiment with AI agents. More organizations are likely to follow, argue Neeley and Ranjan, who's senior vice president of product at Expedia and a tech expert in AI and product management. They offer a vision for the potential of agentic AI in the technical note, "Generative and Agentic AI as Strategic Partners for Leaders," released in November.

"I can't see a future without every individual using AI to dramatically improve their work, their relationships, and their collaborations," says Neeley, the Naylor Fitzhugh Professor of Business Administration and chair of the MBA program. "Individuals and companies will be able to do so much more than they did before."

"People talking about using AI to write an email or draft a document is just the starting point—what we're doing is taking it to a higher order," Ranjan says. "It's the type of

thinking that can unlock a 10x improvement in productivity.”

Your personal AI strategic bench

In the technical note, Neeley and Ranjan—who met while serving on the board of Brightcove, a cloud-based video platform—highlight how agentic AI could meet the strategic needs of leaders and organizations. When deployed at its full potential, agentic AI could power a digital support team for leaders that includes:

A competitive intelligence analyst that monitors external signals

While gen AI can distill goals and evaluate metrics, an agentic approach could continuously compare those targets against competitors’ as they evolve, recommending adjustments as peers announce new products or strategic shifts.

Agentic AI can even monitor and respond to external developments, using deep research capabilities to create ongoing summaries of information on collaborators or competitors—acting as a strategic press secretary.

It could really help leaders stay ahead of emerging developments and get the insights to act.

“The instruction for the agent could be to scan the internet every morning and give me everything written about a company or product by the time I start my day,” Neeley says. Far beyond a simple Google News alert, the agent could synthesize and interpret the information, translating it into action items related to your organization’s strategic goals. “It could really help leaders stay ahead of emerging developments and get the insights to act.”

A chief of staff that aligns time with strategic priorities

An AI agent could mine calendars and emails to create an accurate picture of how time is actually spent.

“That’s a hard thing to do mentally,” says Ranjan. “Even if you sat down and started categorizing things in Excel, it would take forever.”

An AI agent could also evaluate meeting transcripts to determine what was actually discussed, rather than what was on the agenda. “Maybe my calendar looks like I was spending time on subject X, but we actually talked about subjects 1, 2, and 3,” says Ranjan.

Beyond categorizing the data, an agent could find patterns and compare them with organizational priorities to recommend how leaders could use their time better. “It effectively becomes a chief of staff, saying ‘here’s where you have been focused, and here’s how that compares with the highest priorities you’ve set,’” Ranjan says.

“It could really help leaders stay ahead of emerging developments and get the insights to act..”

An executive coach that provides feedback and advice

One particularly interesting task the authors discuss in the note involves anticipating feedback from a manager or other senior colleagues ahead of a meeting. For example, an agent could analyze patterns from past interactions, drawing on emails, meetings notes, and other communications, along with publicly available information. ‘

The agent could then create a working profile of that individual, enabling the user to seek feedback ahead of an important presentation, for example. It could also provide tips on how to respond to concerns the person is likely to raise.

“One of the hardest things, especially for a junior employee, is thinking through every angle or question you are going to be asked,” Ranjan notes. AI could surface those likely questions and provide key insights to help them prepare more effectively.

Making the most of your agents

Agentic AI isn’t “set it and forget it.” Wringing its value requires organizations to rethink their processes and set thoughtful guardrails. Ranjan says to think of agentic AI as a three-part loop:

Plan. What data does the underlying model need to perform tasks in a given workflow? To create a person for a particular stakeholder, users might need to provide examples of correspondence, for example.

Execute. Whether ChatGPT, Gemini, or Claude, every major AI program now has an agent mode through which you can set up an ongoing task; a deep research feature that can integrate large amounts of information based on connected data sources; and a scheduler to automate tasks, the authors say.

Learn. As the model begins to operate, it will collect new information and refine its approach.

As with all AI, quality requires user vigilance. People should not only periodically check the agent's work, but also review its output at crucial junctures, such as before making a major decision.

"As we move towards more agentic workflows, that human-in-the-loop moment is going to be critical," says Ranjan.

Getting started with agentic AI

Neeley and Ranjan offer the following advice for leaders seeking to bring agentic workflows into their organizations:

Start with boring and redundant tasks

"The 'no-joy' work, the repetitive tasks, are ones particularly suitable for these tools," Neeley says. Not only will that help create efficiencies, but it will also help create trust among employees and get them excited to use AI.

Broaden access to tools

Many firms have benefitted from empowering employees to build their own workflows and prompts, Neeley and Ranjan say. Organizations should encourage employees to keep experimenting. "Make that easy and frictionless to do," Ranjan says.

Train employees together

Consider creating a shared "boot camp" where employees can learn the basic tools of agentic AI at the same time. Learning in a group builds momentum and confidence,

turning experimentation into a shared practice rather than a solitary exercise. "Doing it as a community, employees can support and teach each other as opposed to just having this daunting AI staring at you," says Neeley, who recently launched an AI training program for HBS faculty and staff. This collective approach helps spread ideas, spark excitement, and accelerate adoption.

Provide top-down support

Employees need resources they can turn to when they want to explore new agentic use cases or ask questions. In addition to tech support, leaders can lift up and celebrate initiatives that work. "Those early adopters are the ones you need to showcase to people to spark their imagination," Ranjan says.

Ensure legal and ethical use of data

Data sources must be publicly available, or if proprietary, accessed with the explicit permission of the owner. The data the system relies on must remain within the bounds of authorized and accessible sources.

Continue trying new tools

"What was new and innovative yesterday is table stakes today," says Ranjan. "Leaders need to keep testing, learning, and iterating."

For Neeley and Ranjan, the real promise of agentic AI lies in its ability to work independently, pulling together information from multiple sources and synthesizing it in ways that go far beyond prompt-based interactions. As these systems mature, they argue, agentic AI could function as a digital support resource for leaders, helping them make sense of complexity, focus their attention, and perform at a higher level.

People Are Mostly OK With AI Taking Over Many Jobs—Up to a Point

Americans may be more open to AI taking over work than previously thought. Research reveals which jobs people are willing to automate, where they draw the line, and why ignoring the value of a human touch could backfire for businesses.

By Julie Jette on February 5, 2026



Research by James W. Riley

Assistant Professor of Business Administration

Despite concerns that artificial intelligence might displace large swaths of workers, people say they are willing to let machines take over many tasks, and entire occupations, especially if AI can do the work better, faster, and cheaper. Just a handful of professions are viewed as off limits to automation, among them clergy members and childcare workers.

All told, the public supports automating roughly 30% of jobs based on current AI capabilities, according to a survey of 2,357 people who were asked about 940 occupations. What's more, when people were prompted to imagine a more advanced version of AI in the future that can outperform humans at a lower cost, support for automation nearly doubled to 58% of occupations.

Such a sharp increase suggests that resistance to AI from automating jobs stems largely from concerns over the technical feasibility of the technology, rather than from social or ethical objections about replacing

human labor, says Harvard Business School Assistant Professor James Riley, who served as the principal researcher on the survey.

Meanwhile, respondents were ambivalent or morally opposed to automating a significant number of jobs, even if AI could do the work flawlessly and more cost-effectively.

"It's a question of whether we can do even more at our jobs with these tools than we would have been able to in the past."

"Some employees will resist for their own reasons," Riley says. And even customers might balk if companies "run roughshod over core audiences who value their goods, services, and brand. So there's certainly a risk to automating and augmenting jobs away."

Before companies decide where and how to deploy AI to reap productivity gains, Riley says they should consider where and how much

the public most values a “personal touch.” Regardless of whether AI can outperform a human, businesses risk turning off both employees and customers by letting the technology take over certain tasks.

Riley shares the study’s findings in a working paper “Performance or Principle: Resistance to Artificial Intelligence in the US Labor Market,” released in October, coauthored with Simon Friis, postdoctoral fellow at the Laboratory for Innovation Science at the Digital Data Design Institute at Harvard.

People support using AI as a performance tool

It may seem logical that as AI’s capabilities improve, market forces are likely to drive widespread automation of work. Yet Riley and his coauthor highlight that history tells a different story, noting that economic incentives alone don’t always dictate the adoption of new technologies. The paper points to public resistance to genetically modified crops, nuclear power, and embryonic stem cell research as examples of potentially beneficial technologies that have been initially constrained by social, moral, and ethical concerns.

“There are certain types of products or market sectors where people do care about how something was made as much as the fact that it was made cheaper.”

When it comes to AI, people have a greater appetite for using the technology as a collaborative tool to assist humans, rather than a replacement for them:

Some 94% of respondents favor using current-day AI to augment human work.

That percentage rises to nearly 96% when the survey described a more advanced version of AI that may emerge in the future.

This suggests that most people appear comfortable with the idea that technology helps humans perform work more quickly and

efficiently.

“The fact that we can now use calculators to do longhand calculus or algebra means that instead of wasting our time trying to do what have become rudimentary calculations, we can turn our focus to higher-order problems,” Riley says.

“So, the AI optimist is thinking that we’re not going to be suddenly replaced all at once and in such a way that none of us have any more purpose, meaning, or jobs. It’s a question of whether we can do even more at our jobs with these tools than we would have been able to in the past.”

Which roles should remain human?

When it comes to AI replacing humans, however, people remain ambivalent about automating nearly 42% of professions. Respondents indicated that technical advances alone aren’t enough to win their support for automating many roles, from nuclear power reactor operators and sports medicine physicians to bakers. They feel a strong degree of moral repugnance toward automating a select few occupations—about 12%—including funeral directors, athletes, and artists.

“Respondents are implying that there’s this social and moral boundary marking what we as people, as a species, need to continue to do,” Riley says. “We’re going to need to have a sober conversation informed by some rigorous analyses around where these boundaries are and why.”

Survey respondents matched the demographics of the US adult population on age, gender, ethnicity, and political affiliation.

Leaders must find the ethical line

The survey didn’t ask whether respondents were comfortable with their own occupations being automated—and Riley notes that public sentiment about which roles are fair game for AI automation could, of course, change over time.

“It’s easy for respondents to say all this hypothetically, but maybe people won’t be as comfortable when it actually starts

happening,” he says. “Because there will be more at stake, as opposed to right now, when it’s no longer at a distance, or a thought experiment.”

For now, Riley recommends that leaders who are trying to balance AI use while maintaining stakeholder trust should:

Prioritize performance in evaluating AI opportunities

Companies planning their shorter-term AI strategies should focus on areas where customers don’t hold strong moral objections, and where AI’s usefulness is solid, Riley suggests.

Consider AI norms in long-term planning

As companies scale their AI use, planning should go beyond technical constraints and performance to include social and organizational factors, including talent retention and demand-side risks.

Be transparent about AI use

As AI capabilities expand, businesses may want to extend AI into more areas, but Riley says they should openly communicate to stakeholders how exactly they’re applying the technology and why.

Know the risks of crossing lines

For some customers, human presence will be non-negotiable in certain tasks and roles. Executives in some industries should remain aware that automation could outright diminish the value of their products or services and alienate customers.

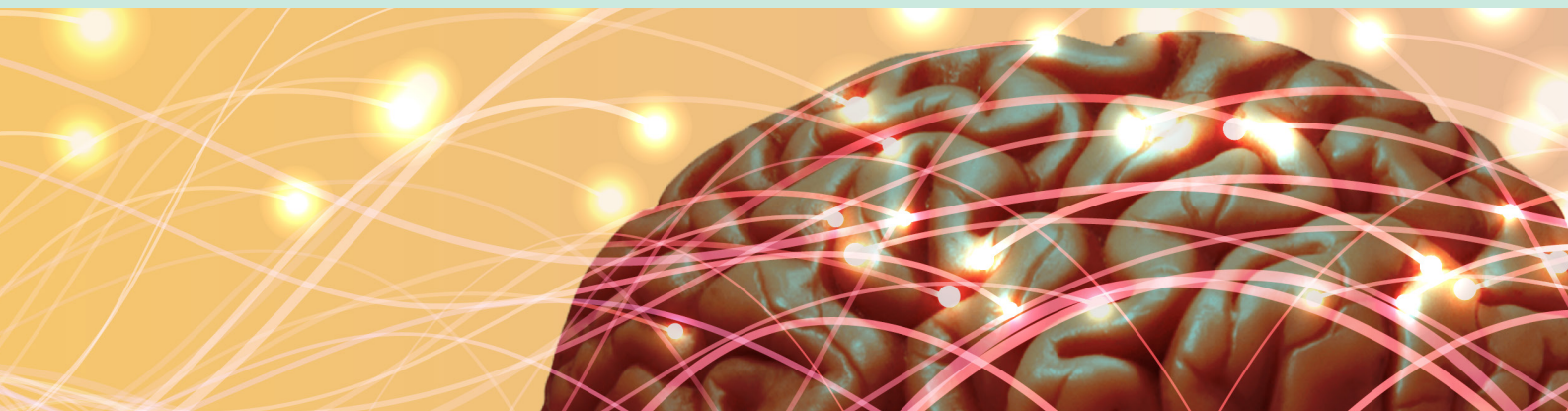
“There are certain types of products or market sectors where people do care about how something was made as much as the fact that it was made cheaper,” Riley says.

When AI use is morally repugnant

Researchers used a moral repugnance scale (1-7) to measure public resistance to automation across 940 occupations. They found widespread support for AI in some roles but others remain categorically off-limits, regardless of AI’s capabilities.

Occupation	Repugnance score
Clergy	5.91
Childcare workers	5.86
Marriage and family therapists	5.64
Administrative law judges, adjudicators, and hearing officers	5.62
Athletes and sports competitors	5.52
Biostatisticians	2.54
Switchboard operators, including answering service	2.52
Transportation planners	2.38
Search marketing strategists	2.31
File clerks	2.17

Source: "Performance or Principle: Resistance to Artificial Intelligence in the U.S. Labor Market," HBS working paper, Oct. 2025



When AI Joins the Team, Better Ideas Surface

Generative AI can act like a high-performing collaborator on team projects, propelling innovative thinking. Research suggests four recommendations for applying AI to teamwork.

By Scott Nover on October 17, 2025



Research by Raffaella Sadun

Charles Edward Wilson Professor of Business Administration, Senior Associate Dean for HBS Publishing, Senior Associate Dean for HBS Publishing



Research by Karim R. Lakhani

Dorothy and Michael Hintze Professor of Business Administration

Many companies are embracing artificial intelligence as a practical tool to boost worker productivity—but research shows AI can go further, even serving as collaborators on team projects.

By studying 791 professionals who develop products at Procter & Gamble, Harvard Business School researchers found that AI can serve as a “cybernetic teammate,” delivering many of the same benefits as human collaborators, including generating better ideas and sharing expertise. Plus, the technology can even create more excitement among team members for the work.

The findings illustrate that AI can go beyond summarizing text or cleaning up spreadsheets, the researchers say. The results of the field experiment found that workers using AI were more likely to generate ideas ranking among

the top 10% of all submissions, showing that the technology can help companies produce “the kind of breakthrough solutions that drive organizational success,” according to the working paper, “The Cybernetic Teammate: A Field Experiment on Generative AI Reshaping Teamwork and Expertise,” which was updated in April 2025.

“If you want to be in that top 10% of performers, a full human team plus AI seems like the recipe for success.”

“If you want to empower an individual to be as effective as a team, give them AI,” says Fabrizio Dell’Acqua, an HBS postdoctoral researcher and one of the study’s coauthors. “But if you want to be in that top 10% of performers, a full human team plus AI seems

like the recipe for success.”

Two HBS professors were among the coauthors: Raffaella Sadun, the Charles E. Wilson Professor of Business Administration at HBS, and Karim R. Lakhani, the Dorothy & Michael Hintze Professor of Business Administration. Additional coauthors include Charles Ayoubi of École Supérieure des Sciences Economiques et Commerciales (ESSEC); Hila Lifshitz of the University of Warwick; Ethan Mollick and Lilach Mollick of the University of Pennsylvania; and four P&G employees: Yi Han, Jeff Goldman, Hari Nair, and Stew Taub.

AI enhances a team's performance

During the P&G experiment, conducted between May and July of 2024, the researchers randomly assigned participants to work either individually or in cross-functional teams on projects related to the company's baby care, feminine care, grooming, and oral care units.

The goal was to develop viable ideas for new products, packaging, communication approaches, or retail functions for the consumer-packaged goods company. Some individuals and teams used an internal AI tool powered by GPT-4, while others didn't use AI.

With AI:

- Teams produced the highest-quality solutions. Ideas ranking in the top 10% were three times more likely to come from teams using AI, rather than individuals working without AI.
- Individuals also produced better ideas, equaling the quality of a two-person human team not using AI.
- Teams and individuals offered ideas that mixed technical and commercial elements equally, challenging organizational silos.
- Employees less familiar with product development tasks achieved performance levels comparable to experienced colleagues, suggesting that AI can expand problem-solving expertise across broader

employee populations.

“Now we have many more parts of any given company that can contribute great ideas,” Dell’Acqua says. “Much less relevant is the traditional conception of who has task and domain expertise.”

Without AI, individuals produced the lowest-quality ideas—those considered less novel and with less potential business impact. Research and development staffers also tended to offer technical solutions, while marketing staffers provided commercial ideas, compared to the boundary-breaking ideas of teams and individuals using AI.

Employees using AI reported significantly higher levels of enthusiasm and energy for the projects, and less anxiety and frustration, compared to employees who worked alone without AI.

“We’ve seen technologies that improved productivity or performance, while at the same time they were perceived a bit negatively,” Dell’Acqua says. “However, when [workers] interacted with AI, they were at least as happy as when interacting with other humans. That was quite fascinating.”

Advice for using AI among teams

Based on the findings, Dell’Acqua offered several recommendations for companies looking to optimize AI-human collaboration:

Reconceptualize AI as a teammate, not a tool

Focus on managing relationships with AI rather than understanding technical specifications. This shift in mindset can unlock more effective interactions and better outcomes.

Provide targeted training on AI interactions

Even brief hands-on training sessions can dramatically improve outcomes. Teach employees to treat AI as a collaborative thought partner, rather than a search engine.

Consider different AI strategies for different goals

Use AI-enabled individuals for efficiency gains, but maintain AI-augmented teams for

breakthrough innovation opportunities.

Address AI adoption fears through empowerment

Focus training on how AI expands rather than replaces human capabilities, emphasizing the collaborative rather than competitive aspects of human-AI interaction.

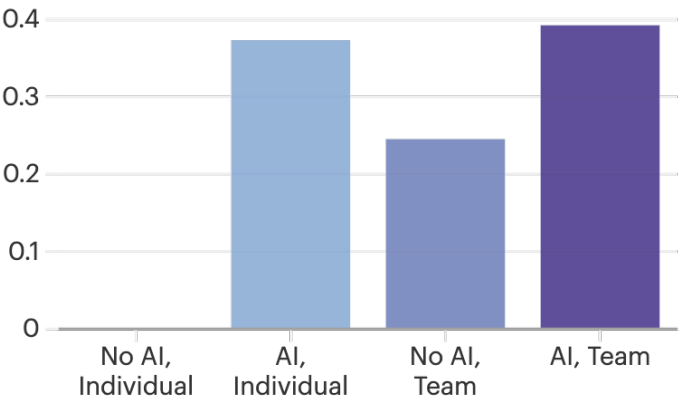
As organizations continue integrating AI technologies, the study suggests we’re witnessing more than incremental productivity gains. AI integration is reshaping how work gets done—not just by helping individuals work more quickly, but by changing the nature of collaboration itself.

“If these expertise silos can have a very different shape with AI, we may want to rethink the design of organizations,” Dell’Acqua says.

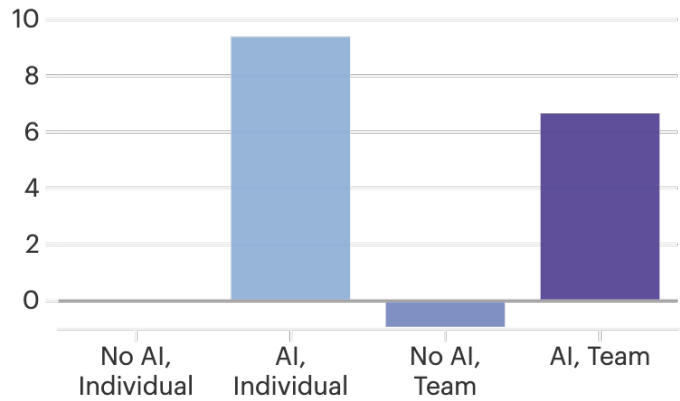
AI use benefits individuals as much as teamwork

AI use can replicate the key benefits of teamwork. Researchers found using AI helped individuals produce better quality work and saved them time.

Average Quality Scores



Time Saved (in seconds)



Source: "The Cybernetic Teammate: A Field Experiment on Generative AI Reshaping Teamwork and Expertise," HBS Working Paper, March 2025.



Who Should Approve Bank Loans: People or Algorithms?

Do you mind if an algorithm reviews your loan application? While people generally prefer to leave high-stakes decisions to humans, many people don't mind letting technology choose.

By Scott Nover on January 7, 2026



Research by Elisabeth C. Paulson

Assistant Professor of Business Administration

Your hotel lobby needs renovations, but peak season—when the cash flows—is months away. But you need those upgrades *before* vacationers arrive, so you don't have to cut capacity or offer a subpar experience.

You apply for a bank loan: \$100,000 will do the trick. Denied. You're furious. Does it matter who denied you? What if it wasn't a loan officer at the bank but rather an algorithm?

Research by Harvard Business School's Elisabeth Paulson finds that people prefer that bank managers make lending decisions over algorithms. Among the study's 9,000 participants, people were more likely to choose a human decision maker for a hypothetical loan scenario by 4.3 percentage points. The findings also suggest that participants care more about whether a decision maker—person or algorithm—efficiently reduces collective risk than if the decisions are fair.

"Trying to understand how the public feels about algorithms depending on their features

is an increasingly important topic, and there's really not much known about it right now," Paulson says. She and coauthor Kirk Bansak, an assistant professor at the University of California, Berkeley, detail their findings in "Public Attitudes on Performance for Algorithmic and Human Decision-Makers," published online by the journal PNAS Nexus in December 2024.

"Trying to understand how the public feels about algorithms ... is an increasingly important topic, and there's really not much known about it right now."

Questions of algorithmic decision-making have permeated society. Not only do algorithms determine which TikTok video plays next in a user's feed, but they increasingly guide hiring, medical care, and security. But with every algorithm, society will need to contend with a broader question: Would we feel better about the result if a human

were making the call? Sometimes, yes—but, sometimes, no.

Who should approve a bank loan?

Paulson and Bansak set out to understand how people evaluate algorithmic and human decision-makers, and whether their evaluation criteria differ based on who—or what—calls the shots. In addition to the bank loan scenario, they probed another high-stakes decision: whether to release a criminal defendant before their trial.

“If you can show that on accuracy, you can actually do much better with an algorithm ... then that’s probably sufficient.”

The researchers randomly presented pairs of decision-maker profiles—some human, some algorithmic—to their 9,000 participants and asked them to choose one to make loan or pretrial release decisions. Each profile included:

- Data about the decision-maker’s efficiency in preventing risky outcomes, such as crimes committed after release or loan default rates.
- The rate at which the decision-maker incorrectly denied White and minority defendants and applicants, comparing the rates to gauge fairness.

Paulson says that the results challenged her assumptions. She expected people to be more concerned about the fairness of algorithms, “given the ongoing academic and media engagement with issues of algorithmic fairness.”

However, the team found that participants were:

- 7.6 percentage points more likely to choose a person to judge pretrial release decisions.
- 4.3 percentage points more likely to pick a human bank manager to evaluate loans.

Fairness, defined as equal treatment across

racial groups, was consistently the least important factor in respondents’ evaluations—regardless of whether they were judging human or algorithmic decision makers. Instead, respondents overwhelmingly favored efficiency, keeping crime or default rates low.

Decision quality matters most

There were nuances, of course. While the sample generally leaned toward choosing human for important decisions, a significant portion of respondents—about one-third—preferred algorithms, finding they were more fair and effective than humans.

Political differences and comfort with artificial intelligence mattered, too:

- Republicans preferred humans nearly three times more than Democrats did in the pretrial release scenarios.
- Respondents who said they were pessimistic about the use of AI in society also picked humans over twice as often compared with optimists.

Paulson says the most important finding, perhaps, was that superior performance matters most. If algorithms can show vast improvement over humans, people will likely prefer them.

“If you can show that on accuracy, you can actually do much better [with an algorithm], and that the other performance metrics don’t suffer, then that’s probably sufficient. But demonstrating that may not be easy.” Paulson says.

While algorithmic fairness is a top priority in public discussions of whether to turn over key decisions to algorithms, Paulson’s findings show that people prioritize effectiveness in decision-making, even above fairness.

For leaders trying to decide

To narrowly focus on beliefs about algorithms and humans, the researchers didn’t evaluate perceptions of people who use algorithms to help make high-stakes decisions, a question with many more potential variables. While the researchers didn’t set out to study questions about implementation, their findings offer

considerations for organizations trying to adopt AI:

- **Not everyone prefers a human decision-maker.** While respondents in Paulson's study were more likely to choose a person, sizable segments were more open to letting an algorithm decide.
- **Ethical and legal questions still abound.** The researchers acknowledge that in the real world, policymakers and companies can't ignore questions about fairness. They will need to consider due process and data privacy, for example.
- **Trust and transparency are paramount.** People ultimately care most about decision quality, so organizations will need to ensure—and ideally, demonstrate—that whatever system they use achieves those aims.

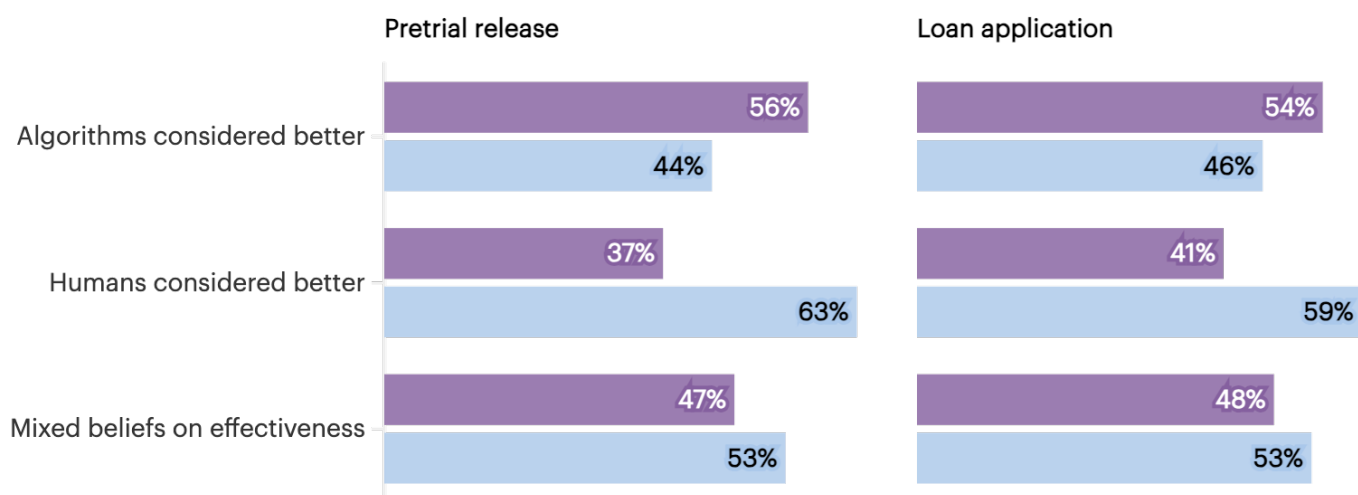
While a human may have a better bedside manner than a detached robotic voice in breaking the news that your hotel lobby renovation loan has been denied—it's still been denied. If you then learn that this algorithm has a proven track record of performance increases over human bank loan officers, would that make the news sting any less? Maybe not.

But after all, this research suggests that what really matters most isn't who—or what—makes the decision, but how well they make it.

Which decision-maker would you choose?

Respondents were asked whether human or algorithmic decision-makers were better at preventing crime and loan defaults in the "real world." Based on those beliefs, they were asked to choose a decision-maker for a high-stakes scenario.

■ Algorithm chosen ■ Human chosen



Source: "Public Attitudes on Performance for Algorithmic and Human Decision-Makers," 2024

Winning with AI Starts With ‘Talent Density’: Interview with Boris Groysberg

Hiring top AI talent is easy, but leveraging that knowledge to its fullest potential is the hard part.

By Danielle Kost on January 14, 2026



Research by Boris Groysberg

Richard P. Chapman Professor of Business Administration

It's hard to track the AI talent bouncing among OpenAI, Meta, Anthropic, and an array of incumbents and startups willing to pay hundreds of millions of dollars in compensation to gain advantage.

The right recruits might bring not only artificial intelligence expertise, but also access to valuable competitor insights. A headline-making hire can also signal to investors that a company is doing everything it can to compete.

In the end, hiring top AI talent is easy; leveraging their knowledge to its fullest potential is harder, says Harvard Business School Professor Boris Groysberg. While Meta's \$14.8 billion investment in Scale AI enabled the company to tap prodigy Alexandr Wang, news reports of integration challenges and executive defections at the Facebook parent abound.

"There's still an attitude of 'Let me get the great people, and they're going to evolve and merge into a team,'" says Groysberg, the

Richard P. Chapman Professor of Business Administration. "I think we all know that that does not happen."

We talked to Groysberg, coauthor of the August case study "Meta and the Superintelligence Talent Race," about the AI talent wars. Here's what we learned.

1. Talent density matters even more now

"AI has basically made some organizations with fewer people just so much more productive. And now we have better tools for measuring talent, so there's a lot more focus than there was before.

One measure is talent density—the number of talented people divided by the number of employees. If you have 100 talented people among a thousand employees, that's 10%. Some organizations look at their talent density year by year, and you hope to see that number going up or at least not declining.

Another measure that's similar is what I call talent density in critical jobs. Every job is

important, but not every job is critical. There are some jobs that are really important to your competitive advantage.

Let's assume you have 50 critical jobs. How many of these people are talents? If you have 40 out of 50, that's 80%. Some companies have five out of 50. That's 10% and that's a problem."

2. Talent acquisition alone isn't enough

"When I think about talent acquisition, there are three ways to do it:

- You can hire individual talents and hope they become a team.
- You can buy a firm. Then, the challenge is integration. But even if for a startup with 100 people, when you talk to CEOs making those transactions, they're really going after six or seven people.

There's an approach in the middle: the lift-out. That's the acquisition of teams.

Each of those categories have challenges and opportunities. So, for example, Meta has hired so many capable people and spends so much time figuring out who they are. I think [Meta CEO Mark] Zuckerberg spent months with Alex before he gave Alex an offer.

[Alex and top AI researchers they hired] all sit together, but I wonder whether they're spending enough time figuring out how to make all these capable people act as a team.

You have to be intentional in team design. You have to be intentional in a team launch. You have to be intentional in team processes. You have to be intentional in creating a sort of team chemistry."

3. Success at one company doesn't guarantee success at another

"In Silicon Valley, there's a belief that you can take talented people from one place, move them to another, and they will continue to be great. And I think we're going to see what we have seen everywhere—whether it's law firms or investment banks—is that, on average, they will not be as successful.

OpenAI is not Facebook. Amazon is not Facebook. They have different cultures and

ways of working."

4. Lift-outs don't eliminate integration issues

"Some CEOs try to solve integration issues by hiring teams through a lift-out. If you look at our research, we find that stars that move with their teams do well, but this still doesn't eliminate the integration challenge.

When you unplug the relationship that made a team successful and take it someplace else, is the talent more portable than if you go by yourself? The answer is yes. My two colleagues, Ashish Nanda and Nitin Nohria, and I documented it about 20 years ago in the Risky Business of Hiring Stars HBR. But companies need to think of the team as a mini-acquisition. You have to be able to integrate them.

"There's still an attitude of 'Let me get the great people, and they're going to evolve and merge into a team.'"

If they come as a team and you keep them as an island in the middle of the ocean, in five years they will leave as a team."

5. Hiring AI talent can seem like an insurance policy

"When you now tell people that you're hiring AI talent, nobody's arguing that you shouldn't be. And I think if at the end of the day, you're not successful, it's also a little bit like an insurance policy.

If you develop your own AI talent and they don't succeed, people will look at you and say, 'You should have gotten the best and brightest. You should have gone for stars.' But if you hire star talent and it still didn't work, it shows that 'We did our best. We found the best people. We brought them in. We gave them resources. And it did not work.'"

6. With AI, companies will likely shrink

"In one of my classes, one of the MBAs asked me if I believed that organizations are going to become smaller, which is what a lot of people believe. Because if you have talent and you have AI, you don't really need 5,000

employees.

They asked if I thought that companies would become a N of one (in other words, run by one person). I told him that I'm not sure because if you have four or five people who are really different but complementary, then one plus one can equal three.

But will we see organizations that are smaller? I think the answer is absolutely yes."

"AI can help you figure out how to get better, but you still have to be able to use those skills, and to understand when to use them to achieve a specific outcome. "

7. AI can help fill skills gaps—fast

"AI can help us diagnose what skills we have as individuals, as well as the skills that an organization has. It can help us measure it better and connect it to strategy.

Companies can ask [an AI tool]:

- What jobs do we need?
- What roles do we need?
- What skills am I missing?

We can do this in a much more rigorous way than I have seen anybody do it before.

And then AI can help you skill up. That's what I find most fascinating about AI. I see a number of individuals and companies using AI for that.

Even just 10 or 15 years ago, if you wanted to develop a particular skill, you would have to wait for a class or training to be offered. Many companies used to say, 'If you become a manager, we will teach you the skills.' Then they would set out to bring everyone together in February. But if you were promoted in May, you would have to wait and it would be a disaster. Now, if you get promoted in on May 1, you can be learning skills on May 2."

8. AI can scale up mistakes

"We have to accept what AI is capable of doing in 2025, and not capable of doing 2025.

I was talking to an executive, a person in

charge of a number of coders. He said 'Look, if you take a star coder, AI makes that person 10x. And if you have a really bad coder, maybe it's negative 7x.'

But AI can scale your mistakes, too. We have seen this. You have to be careful.

People often wonder 'Is AI good? Is AI bad? Can AI do everything? Can it do nothing?' Everything in the world is about nuance. It's about asking under what conditions can AI help you do something. If we operate with that level of nuance, AI could be a tremendous technology."

9. People still need soft skills and experience

"Many [soft] skills will still be in demand. I was recently teaching about leading change, and we talked about the importance of influencing skills and the ability to influence without authority.

AI can help you figure out how to get better, but you still have to be able to use those skills, and to understand when to use them to achieve a specific outcome.

The way I think about it is: AI will give you the alphabet, but you still need to write a poem. It can teach you the alphabet really fast, and it might give you the first draft of a poem.

But to become a really great executive—to go from average to great—that gap is so big. Successful executives have soft skills that have been acquired over time, have been practiced over time, have been sharpened over time through mistakes, failures, and successes. I think a lot of those things will not go away."



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